Week 03

UNIVERSITAS AMIKOM YOGYAKARTA

PROJECT INITIATION AND BUSINESS CASE

Dr. Sri Ngudi Wahyuni, ST., M. Kom

Email / Phone: yuni@amikom.ac.id / 082138594141

Learning objective

- Understand the concept and process of Project Initiation and its importance in starting a project
- Be able to develop a Business Case and conduct project feasibility analysis
- Be able to formulate a Project Charter as the official foundation for project execution

WHY PROJECT IS CREATED

- A project is created to achieve a **specific, unique goal** within a set timeframe and budget.
- Unlike daily operations, which are ongoing and repetitive, a project is a temporary endeavour meant to drive change, solve a problem, or capitalize on an opportunity

Market and Business Needs

- **Market Demand:** Responding to shifts in what consumers want, such as a juice company developing a new flavour because customers keep asking for it.
- **Strategic Opportunity:** Implementing initiatives that align with high-level company goals, like a retail brand launching a digital marketing project to reach a younger audience.
- **Competitive Advantage:** Creating new features or products to stay ahead of competitors.



Operational Improvements

- **Fixing Problems:** Addressing specific challenges, such as a company building a custom tool to speed up customer support response times.
- **Improving Efficiency:** Upgrading internal systems, like installing a new payroll or inventory system to streamline business operations.
- **Technological Advancement:** Moving from outdated methods to modern ones, such as digitizing a paper-based certification process.

External Requirements

- **Legal or Regulatory Requirements:** Starting a project because a government mandate requires it, for example, a telecom company building a system to allow users to switch operators without changing their numbers.
- **Customer Requests:** Fulfilling a specific demand from a single large client, like a web agency building a custom site for a business.
- **Social and Environmental Needs:** Addressing community gaps (e.g., building a local library) or making environmental changes (e.g., a plastic company starting a recycling project).

Innovation and Change

- **Creating Something New:** Developing a brand-new product, service, or facility that did not exist before.
- **Implementing Change:** Providing a structured, temporary framework to introduce changes without disrupting routine daily work.

BUSINESS PROBLEM

- A project is often initiated to solve a **business problem** because it provides a structured, temporary framework to move from a current state of "pain" to a future state of "solution".
- While daily operations maintain the status quo, projects are designed to create **business value** by specifically addressing the root causes of issues.



The "Solving" Process

- **Mini-Analysis**: Managers investigate a recurring problem to see "what we can do about it".
- **Feasibility Study**: Checking if the proposed solution is technically and economically possible.
- **Project Execution**: A dedicated team works specifically on solving that one problem without being distracted by routine tasks.

How Business Problems Drive Projects

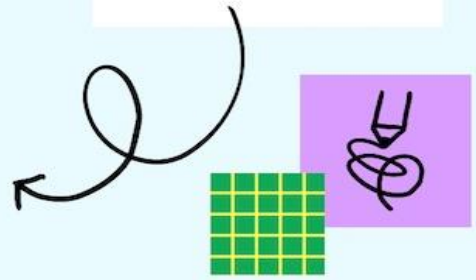
- Organizations use a **Business Case** to justify starting a project, which formally documents the problem and the expected value of solving it.
- **Identifying the Need**: Projects start when a problem, like high production defects or low customer satisfaction is identified as a threat to business goals.
- **Gap Analysis**: Leaders look at where the business is failing (e.g., outdated technology) and define a project as the "bridge" to where they want to be (e.g., a new cloud-based system).
- **Cost-Benefit Justification**: A project is "doing" because the cost of fixing the problem is lower than the long-term cost of ignoring it (lost revenue, inefficiency, or legal risks).

Common Business Problems Solved by Projects



HOW TO WRITE A PROBLEM STATEMENT

1. Identify the problem
2. Put the problem into context
3. Find the root cause
4. Describe your ideal outcome
5. Propose a solution and outline its benefits



Business Case: IT System Upgrade to Cloud-Based Infrastructure

Executive Summary

- A company with outdated software faces frequent downtime and security threats
- This business case proposes upgrading to a cloud-based system

Problem Statement

The existing IT infrastructure is legacy-based with multiple

- Frequent downtime leading to productivity loss
- Vulnerability to cyber threats raising risks and limits business growth

Benefits and Justification

1 Reduced Costs

- Elimination of high maintenance expenses and hardware costs

2 Improved Security

- Regular updates, advanced encryption, and compliance with industry standards

3 Increased Productivity

- Reduced downtime and faster system performance

4 Scalability

- Allowing quick resource adjustments to meet changing business demands

Opnclusion and Recommendation

Proposed Solution

Migrate from an on-premises system to a cloud-based IT solution.

- Implementing a secure cloud platform
- Upgrading applications to cloud-native versions
- Providing staff training on the new system for support and security
- Ensuring scalability by allocating resources quickly as business needs grow

Costs and Mitigation

Data Migration Issues

- Use phased migration with reliable backups

User Resistance

- Provide comprehensive training and 24/7 support during transition

Cost Overruns

- Establish fixed vendor contracts and monitor expenses closely

Downtime During Transition

- Schedule migrations during off-peak hours and maintain fallback system

Timeline and Resources Needed

6-month duration

- Project Manager
- IT Team (3 sfaff members)
- Vendor Support Engineers
- Budget for training and change management

Business case definition and document

- A business case is a formal document that justifies why a project should be undertaken, focusing on the "why" rather than the "how". It serves as a decision-making tool for stakeholders to evaluate if the potential benefits outweigh the costs and risks.

Step-by-Step Cost Business Analysis (CBA) Process

- **Define the Scope:** Clearly state the project's goals and the timeframe (e.g., 3 or 5 years) for the analysis.
- **Identify Costs:** List all expenses, including:
  - **Direct:** Labor, software licenses, materials.
  - **Indirect:** Utilities, rent, overhead.
  - **Intangible:** Potential loss of productivity during transition.
- **Identify Benefits:** List all gains, such as:
  - **Tangible:** Increased revenue, reduced operational costs, labor savings.
  - **Intangible:** Improved customer satisfaction, brand reputation, employee morale.
- **Assign Monetary Values:** Convert all identified factors into a common currency. Use historical data or market benchmarks for "hard-to-measure" intangible items.
- **Calculate & Compare:** Apply the formulas above to determine the project's financial viability.

CBA example

Management service (Edas payment and others)	2.700
registration (operasional, venue dll)	2.412
Promotion	882
Publication	2.640
Exhibit	529
Local Arrangements (transportation committee and keynote speakers)	1.471
Social Functions	294
Program (networking and others)	882
Administration	588
Society Admin Fee	882
Audit fee	294
Committee Expense (rapat dan insentif committee)	933
Other Expenses	588

Example Business case

E-commerce Website upgrade project

- **Problem Statement:** The current manual order processing system is slow and costly, leading to missed opportunities as customers increasingly prefer remote, digital access.
- **Business Objective:** To build an e-commerce platform that allows customers to purchase and attend training courses virtually, increasing efficiency and global reach.
- **Financial Appraisal:**
  - **Estimated Costs:** $15,000 for development, $2,000 for staff training, and $500 in annual maintenance.
  - **Anticipated Savings:** $25,000 per year by reducing administrative overhead.
- **Benefit Analysis:** Improved customer experience, higher conversion rates, and the ability to remain competitive in a digital-first market.
- **Risks:** Reliance on external agencies for development and potential data privacy issues during payment processing.
- **Recommendation:** Proceed with a WordPress/WooCommerce site to balance cost and scalability.

Common Business Case Scenarios

- **Operational Efficiency:** Replacing a paper-based repair system with handheld devices to speed up parts ordering and engineer scheduling.
- **Revenue Growth:** Launching a social media influencer campaign to reach a larger audience and boost brand awareness.
- **Product Quality:** A Six Sigma project to reduce defect rates on an assembly line from 15% to 3%, aiming for $400k in annual savings.
- **Customer Retention:** Implementing a feature-tracking dashboard to reduce user churn by an estimated 15-20%.

Business case success factors

- **Formulate recommendations to decision-makers** by communicating the benefits to encourage them to proceed with the project.
- **Strategic, Financial, and Social Benefits**: Use an evidence-based approach to recommend the best option.
- **Focus on realizing business benefits**, conduct Option Analysis and Scenario Analysis, and conduct risk analysis on ongoing projects.
- **Project Finance: Conduct detailed financial analysis**, such as Net Present Value (NPV), Rate of Return (ROI), Profit to Investment Ratio (ROI), and Discounted Payback Period.
- **Execution and Implementation Planning**: Plan each critical stage and address project implementation risks.
- **Risk**: Identify, analyze, and evaluate key risks, and recommend mitigation actions to enhance overall project success.

Successful Business Cases

Improving the Customer Experience

- Customer service best practices, improved client experience
- $2 NPV over 10 yrs., IRR 86%, Payback period is 2 years



Accelerated Investment to enter New Markets

- $2m Investment plus $850,000 grant to upgrade manufacturing processes. NPV $16m
- World's best practice, competing with imported products from the low cost Asian countries.

Customer Service Improvement

- Investment for advanced planning and optimisation system - $700k
- 10% sales growth, 25% reduction in inventory and 50% reduction of aged stock



Equity Investment to Scale Up the Business

- Equity investment from its new strategic partner - $2m
- Business growth over 200% in the first 2 years, through new channels to market and a non refusable offer

Service Planning to meet Population Growth

- Optimised the number and location of the customer service centres, and rebalanced the catchment areas.
- Financial benefits NPV $6.3m.



Business Expansion to enable Revenue Growth

- New factory and office build to expand production capacity and capabilities.
- Capital investment in new manufacturing delivering operational cost savings, increased production capacity and reduced overheads.